

26STLC02702 26STLC02702

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Case Number: 26STLC02702 Hearing Date: August 18, 2026 Dept: 25

HEARING DATE: Tues., August 18, 2026 JUDGE /DEPT: Eisenman/25

CASE NAME: Groom

v. Indigo Competition Motors, LLC, et al.

COMP. FILED: 04-20-26

CASE NUMBER: 26STLC02702

NOTICE: OK

PROCEEDINGS: DEMURRER

TO PLAINTIFF'S COMPLAINT; MOTION TO QUASH SERVICE OF SUMMONS AND COMPLAINT

MOVING PARTY: Defendant

Indigo Auto Group Holdings, LLC (Demurrer)

Defendant

Indigo Competition Motors, LLC (Quash Service)

RESP. PARTY: Plaintiff Cameron Groom (Demurrer and
Quash Service)

DEMURRER TO COMPLAINT; MOTION TO QUASH SERVICE

(Code Civ. Proc.,
§§ 430.10, et seq.; 418.10)

TENTATIVE RULING:

The Court SUSTAINS WITH 20 DAYS

LEAVE TO AMEND Indigo Auto Group Holdings, LLC's demurrer.

The Court GRANTS Indigo

Competition Motors, LLC's motion to quash service of summons and complaint.

Counsel for Auto Group and

Competition Motors is to give notice.

DEMURRER SERVICE:

☒ Proof of Service Timely Filed (CRC,
rule 3.1300) OK

☒ Correct

Address (CCP §§ 1013, 1013a) OK

☒ 16/21

Court Days Lapsed (CCP §§ 12c, 1005(b)) OK

OPPOSITION: Filed

on August 5, 2026 ☐ Late ☐ None

REPLY: Filed

on August 11, 2026 ☐

Late ☐ None

QUASH SERVICE:

☒ Proof of Service Timely Filed (CRC,
rule 3.1300) OK

☒ Correct

Address (CCP §§ 1013, 1013a) OK

☒ 16/21

Court Days Lapsed (CCP §§ 12c, 1005(b)) OK

OPPOSITION: Filed

on August 5, 2026 [] Late [] None

REPLY: Filed

on August 11, 2026 []

Late [] None

ANALYSIS:

Cameron

Groom sued Indigo Competition Motors, LLC and Indigo Auto Group Holdings, LLC

for unfair business practices under Business and Professions Code section 17200

et seq. Groom alleges that he bought a

Porsche from Competition Motors (doing business as Porsche St. Louis), and that

he asked for a vehicle inspection report before agreeing to purchase the car. Groom alleges that the report omitted problems with the car, and that he would not have purchased it had he known of them.

Auto

Group demurs to Groom's to the complaint pursuant to Code of Civil Procedure section 430.10, subdivision (e) for failure to state sufficient facts to constitute a cause of action, and

subdivision (f) for uncertainty. Competition

Motors moves to quash service of the summons and complaint pursuant to Code of

Civil Procedure section 418.10 on the grounds that the Court lacks personal

jurisdiction over it.

Start with

Auto Group's demurrer. Auto Group demurs pursuant Code of

Civil Procedure section 430.10, subdivision (f) for uncertainty. Code of Civil Procedure section 92,

subdivision (c) does not allow special demurrers in limited jurisdiction

cases. (See *Sanowicz v. Bacal*

(2015) 234 Cal.App.4th 1027, 1033 [a demurrer under Code of Civil Procedure

section 430.10, subdivision (f) is a special demurrer].) The Court will only consider Auto Group's

demurrer for failure to state sufficient facts to constitute a cause of action.

The elements a plaintiff must plead to establish alter

ego liability are (1) a unity of interest and ownership and (2) an inequitable

or unjust result would occur if the parties are not treated as one. (*A.J. Fistes Corp. v. GDL Best*

Contractors, Inc. (2019) 38 Cal.App.5th 677, 696 (*A.J. Fistes Corp.*).)

Groom's complaint merely restates those elements by alleging that "there is such a unity of interest and control between" Competition Motors and Auto Group and "adherence to the fiction that [Competition Motors and Auto Group] exist as separate and distinct entities would permit abuse of the corporate privilege and effect an injustice." The complaint also alleges that Auto Group is the "owner and alter ego of Porsche St. Louis through its child entity [Competition Motors]." These allegations are conclusory. They do not state sufficient facts to plead a unity of interest or an unjust result if Competition Motors and Auto Group are not treated as separate entities. (See *A.J. Fistes Corp.*, supra, 38 Cal.App.5th at p. 696 [general assertions of control do not sufficiently allege a unity of interest]; *Leek v. Cooper* (2011) 194 Cal.App.4th 399, 417–418 [enumerating a list of factors courts consider in applying alter ego liability and that mere difficulty in enforcing a judgment does not satisfy the second prong, as there must be some conduct amounting to bad faith].)

The Court therefore SUSTAINS Auto Group's demurrer WITH 20 DAYS LEAVE TO AMEND.

Next is Competition Motor's motion to quash. Groom carries the initial burden of establishing this Court's personal jurisdiction over Competition Motors. (See *Yue v. Yang* (2021) 62 Cal.App.5th 539, 546 (Yue) [when a defendant moves to quash service on jurisdictional grounds, the plaintiff has the burden of proving facts justifying the exercise of jurisdiction by a preponderance of the evidence].)

California's long-arm statute—Code of Civil Procedure section 410.10—authorizes California courts to exercise jurisdiction on any basis not inconsistent with the Constitution of the United States or the Constitution of California. (*Halyard Health, Inc. v. Kimberly-Clark Corp.* (2019) 43 Cal.App.5th 1062, 1069.) To properly exercise personal jurisdiction over a nonresident, the nonresident generally must have certain minimum contacts such that maintaining the suit does not offend "traditional notions of fair play and substantial justice." (*International Shoe Co. v. Washington* (1945) 326 U.S. 310, 316.) Personal jurisdiction may be either general or specific. (*Yue*, supra, 62 Cal.App.5th at p. 546.)

nonresident defendant is subject to general jurisdiction of the forum if the defendant is “at home” in the forum state; for corporations, that means the place of incorporation or the principal place of business. (*Daimler AG v. Bauman* (2014) 571 U.S. 117, 137–139.) A corporation can also be considered “at home” in another state if the corporation’s affiliations with that state are so continuous and systematic as to render it “essentially at home” in the forum state. (*Ibid.*) Groom concedes that Competition Motors is incorporated in Delaware and has its principal place of business in Missouri, and that Auto Group is incorporated in Delaware and has its principal place of business in Texas. Thus, Groom must present evidence that Competition Motors is “essentially at home” in California. (*Yue, supra*, 62 Cal.App.5th at p. 546.)

Groom argues there is general jurisdiction because Competition Motors is either an alter ego or agent of Auto Group, and that the Court has general jurisdiction over Auto Group because of its business operations in California. Groom contends the Court can extend jurisdiction to Competition Motors under either theory. (See generally *Sonora Diamond Corp. v. Superior Court* (2000) 83 Cal.App.4th 523 (*Sonora Diamond Corp.*).

As for the alter ego argument, Groom’s only evidence is the purchase contract for the Porsche. The contract contains a provision that states it is to be governed by Texas law and that jurisdiction and venue of proceedings related to the contract is to be in Houston, Texas. Groom argues that it “makes no sense” for Competition Motors to have this provision in its contract unless “it is taken as an attempt by [Auto Group], as the parent corporation, to micromanage the litigation affairs of its subsidiary,” given that Auto Group’s principal place of business is in Texas. That isn’t enough to establish that Competition Motors is Auto Group’s alter ego.

As for the agency argument, “where the nature and extent of the control exercised over the subsidiary by the parent is so pervasive and continual that the subsidiary may be considered nothing more than an agent or instrumentality of the parent . . . jurisdiction over the parent may be grounded in the acts of the subsidiary/agent.” (*Sonora Diamond Corp.*, *supra*, 83 Cal.App.4th at p. 541.) However, Groom is attempting to argue jurisdiction over the agent, Competition Motors, may be grounded in the acts of

the parent, Auto Group. "There does not appear to be a California case in which an agency theory has been used to impute a California parent company's forum contacts to an out-of-state subsidiary." (Strasner v. Touchstone Wireless Repair & Logistics, LP (2016) 5 Cal.App.5th 215, 224.) And regardless, Groom has not presented evidence that Auto Group's control over Competition Motors is pervasive and continual.

Without a showing of general jurisdiction, there is the question whether the Court has specific jurisdiction over Competition Motors. To exercise specific jurisdiction properly over a defendant, the suit must "arise out of or relate to the defendant's contacts with the forum," such that there is an "affiliation between the forum and the underlying controversy, principally, [an] activity or an occurrence that takes place in the forum State and is therefore subject to the State's regulation." (Bristol-Myers Squibb Co. v. Superior Court (2017) 582 U.S. 255, 262.) A court may exercise specific jurisdiction over a nonresident defendant only if: (1) the defendant has purposefully availed itself of forum benefits; (2) the controversy relates to, or arises out of, the defendant's contacts with the forum, and (3) the exercise of jurisdiction comports with fair play and substantial justice. (Yue, supra, 62 Cal.App.5th at p. 547.)

To avail itself purposefully of forum benefits, a nonresident defendant must have directed its activities at the forum or availed itself of the privilege of conducting activities within the forum state, thus invoking the benefits and protections of local law. (Hanson v. Denckla (1958) 357 U.S. 235, 253.) Citing Pavlovich v. Superior Court (2002) 29 Cal.4th 262 (Pavlovich) and Shisler v. Sanfer Sports Cars, Inc. (2006) 146 Cal.App.4th 1254 (Shisler), Competition Motors argues there is no purposeful availment because it merely advertised its vehicles on a website.

In Pavlovich, the Supreme Court of California noted that personal jurisdiction based solely on internet use is evaluated on a sliding scale. (Pavlovich, supra, 29 Cal.4th at p. 274.) The Court stated:

At one end of the spectrum are situations where a defendant clearly does business over the Internet. If the

defendant enters into contracts with residents of a foreign jurisdiction that involve the knowing and repeated transmission of computer files over the Internet, personal jurisdiction is proper. [Citation.] At the opposite end are situations where a defendant has simply posted information on an Internet Web site which is accessible to users in foreign jurisdictions. A passive Web site that does little more than make information available to those who are interested in it is not grounds for the exercise [of] personal jurisdiction. [Citation.] The middle ground is occupied by interactive Web sites where a user can exchange information with the host computer. In these cases, the exercise of jurisdiction is determined by examining the level of interactivity and commercial nature of the exchange of information that occurs on the Web site.

(Ibid.)

The Court of Appeal in Shisler evaluated the standard set out in Pavlovich in a context like Groom's. The nonresident defendant advertised vehicles on a website, but there was no evidence that files were exchanged via the website, that the website specifically targeted California residents, or that the defendant expressly reached out to California for business opportunities. (Shisler, supra, 146 Cal.App.4th at pp. 1261–1262.) The Court of Appeal held that the evidence did not establish purposely avilment to satisfy the first prong for specific jurisdiction, and the trial court properly granted the motion to quash. (Id. at p. 1262.)

Groom argues that Competition Motors does not simply maintain a passive website but maintains its own interactive website and pays for a subscription service to CarGurus.com, the website on which Groom found the listing for the subject vehicle. Groom acknowledges that CarGurus promotes "its vehicles across the county, including in California," and that it is "the No. 1 visited automotive shopping site in the U.S. with the largest selection of inventory and network of dealers."

But

Groom's evidence regards Auto Group's website, not Competition Motors's. As discussed above, Groom has not presented sufficient evidence to treat Competition Motors as an alter ego or agent for Auto Group, such that Auto Group's website can be considered Competition

Motors's website. And assuming

Competition Motors has paid for a subscription to have its vehicles advertised on CarGurus, Groom has not demonstrated that CarGurus is something other than a website making "information available to those who are interested." (Pavlovich, supra, 29 Cal.4th at p. 274.) The screenshots of the CarGurus website displaying Competition Motors's listings show vehicle information and an option to check their availability.

Furthermore, Groom presents no evidence that Competition Motors was specifically targeting California residents, that he exchanged files with the website, or that Competition Motors has expressly reached out to California for business. CarGurus is available to California residents and thus the vehicles can be viewed by them, but "without more it is not an act purposefully directed toward the forum state. If it were, personal jurisdiction in Internet related cases would almost always be found in any forum in the country, contrary to long-settled principles of personal jurisdiction." (Shisler, supra, 146 Cal.App.4th at p. 1261.)

Groom

has thus failed to present sufficient evidence to establish that Competition Motors has purposefully availed itself of the forum, and therefore that the Court can exercise specific personal jurisdiction over Competition Motors. The Court GRANTS Competition Motors's motion to quash.

Counsel

for Auto Group and Competition Motors is to give notice.